AI and Entry-Level Hiring

Making a Decision from Incomplete Evidence

Purpose. Evidence that AI can perform certain tasks is not the same as evidence that firms are using it to reduce employment. Your team will decide what the current evidence supports and how a company should respond.

Instructions. Work with your team. Do not use an LLM or outside sources. Use the assigned readings and the evidence summarized below.

You have **15 minutes**. Choose one person to **orally summarize your team's discussion for 90 seconds**.

Do not discuss each study separately. Combine the evidence and reach one conclusion.

The Evidence Chain

Studies may examine different parts of the process:

Capability ⟶ Exposure ⟶ Adoption ⟶ Changes in Work ⟶ Hiring ⟶ Employment and Wages

Evidence at one stage does not automatically establish what happens at the next stage.

How Far Does the Evidence Take Us?

Consider these increasingly strong claims:

1. Generative AI could affect many tasks performed in exposed occupations.
2. Young workers have experienced weaker employment in occupations with greater AI exposure.
3. AI is one plausible explanation for this employment pattern.
4. The evidence shows that firms are reducing entry-level hiring because they are adopting AI.
5. AI is the main cause of the broader decline in entry-level employment.

Decide which is the strongest claim that the current evidence supports.
Be prepared to explain why the evidence does not yet support the next claim.

Evidence Available

ILO Exposure Index

The ILO studies the tasks performed in different occupations and estimates how many could be affected by generative AI. About one quarter of global employment has some exposure. Exposure is higher in high-income economies and among women.

Canaries in the Coal Mine

The Stanford researchers use payroll records covering millions of US workers. Employment growth is weaker for workers ages 22 to 25 in occupations with greater AI exposure. The decline is strongest in occupations where AI is more likely to automate tasks rather than assist workers. The study compares changes among workers in the same firms, but it does not directly measure how much AI each firm uses.

EIG Critique

EIG finds that job postings in highly exposed occupations began falling before the public release of ChatGPT. Junior and senior job postings also moved in similar ways. EIG argues that higher interest rates, weaker technology-sector hiring, and other economic changes may explain part of the decline.

Stanford Reply and Updated Dashboard

The Stanford authors argue that occupations affected by higher interest rates are not necessarily the occupations most exposed to AI. Their main results remain when they compare changes within firms. However, the relative decline for young workers becomes clearly detectable only in 2024. The updated Canaries Dashboard shows that the early-career employment pattern has continued, but it does not establish what caused it.

The Business Situation

A large professional-services company recruits several hundred university graduates each year. Senior executives believe that generative AI will soon perform much of the research, drafting, analysis, and routine client work now assigned to junior employees.

They are considering a **20% reduction in next year's graduate hiring class**. They argue that the decline in entry-level employment shows that other firms are already responding to AI.

Other managers argue that the evidence does not show whether firms are cutting hiring because of AI. They also worry that hiring fewer graduates now could leave the company without enough experienced employees later.

Your recommendation should follow from where you landed on the claim ladder. A weaker supported claim makes a company-wide hiring cut harder to justify, while stronger evidence may justify acting more broadly.

The Decision

Recommend one option:

1. **Reduce graduate hiring by 20%.** The evidence is strong enough to justify acting now.
2. **Maintain current hiring.** The evidence is too weak to justify changing the graduate pipeline.
3. **Run a limited pilot.** Test AI in selected teams or roles before making a company-wide hiring reduction.

Your 90-Second Oral Summary

The person speaking should explain:

1. The strongest claim the evidence currently supports.
2. The combination of evidence that led your team to that conclusion.
3. The main reason not to make a stronger claim.
4. What the company should do and what assumption matters most to that recommendation.

Be prepared to answer one follow-up question.